

HIMACHAL
PRADESH

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WHO IS TO BLAME

"The Centre issued misleading statements on price rise, triggering signals to traders and hoarders."

WHAT NEEDS TO BE DONE

"The Government should utilise its stocks to ensure supply and bring down prices."

costs and prices in the market have shot up by over 100 per cent, PDS prices are rooted in 2001. Consider this: rice is sold to the poorest of the poor under the Antyodaya scheme at Rs 3 per kg, to BPL families at Rs 6 per kg and to those above the poverty line at Rs 7.50 per kg. This when it costs the Government Rs 15 per kg for wheat and Rs 19 per kg for rice. But this is really an illusion as Planning Commission's studies have shown that barely 11 per cent of PDS grains reach the poorest of the poor.

The need to invest in social and physical infrastructure in the rural economy is beyond argument. This is the only way those left out of the gravy train could be equipped to get a shot at better incomes. The Central schemes have delivered incomes and fuelled demand. It cannot be denied that if India has recovered after the meltdown it is because of the Bharat economy. But state profligacy has a price tag: inflation. Now the UPA finds itself in a piquant situation. It has claimed credit and got re-elected based on these policies but finds itself facing public flak for the consequences of the inclusive growth programme.

The problem is not with what it did but what it did not do. While it propped agri prices for higher incomes and pump primed the rural economy with ideas and projects, the UPA neglected supply side bottlenecks and poor distribution network. The neglect pre-dates the UPA, and NDA was just as guilty. Take



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the PDS process. Does it need to be centralised? Why should the economic cost of rice be Rs 1,893 per quintal when it is procured at Rs 1,050 per quintal? Why should consumers and taxpayers bear the burden of sarkari carrying costs? Why shouldn't states enter private-public partnership models? The truth is if the racket of PDS is busted, at least some politicians and political parties who live off the leakage of fair price shops won't be left with a business model. In a democracy, consumers and voters at local levels must be allowed to choose their instrument of subsidy; yet the Centre insists on administering it through inefficient systems. That India wastes over Rs 70,000 crore worth of post-harvest produce is legendary. Yet political parties oppose farm-to-fork retail supply chain systems. That retail reforms would deliver better pricing to

MUCH OF FRUITS AND VEGETABLES PRODUCE IS WASTED DUE TO LACK OF RETAIL REFORMS

farmers and consumers by improving availability doesn't matter. Predictably, middlemen are more important to political parties.

The world over, productivity—and not pricing—is the chosen instrument of delivering higher incomes and prosperity. In India, where flyovers are a norm, political parties have chosen the subsidy route. Perhaps this is a temporary and immediate measure but there is no sign of long-term planning. India's per hectare productivity of paddy has moved from 668 kg to 2,203 kg since 1950. Even the best state, Punjab, achieves just 3,800 kg/ha while fertile states like Bihar and Uttar Pradesh deliver just 1,400 kg and 1,800 kg per hectare. Compare this with China. It

UTTAR
PRADESH

Mayawati



WHO IS TO BLAME

"The Congress says *aam admi ke saath* but they are formulating policies for capitalists."

WHAT NEEDS TO BE DONE

"The Congress should discard capitalistic policies and heed the plight of the needy."